

2. 9:00 AM CASE NUMBER: C23-01467
CASE NAME: BILLY HOLDMAN VS. STEPHAN LINDSTROM
*HEARING ON MOTION IN RE: SUBSTITUTE OCTAVIA HOLMAN AS ADMINISTRATOR OF ESTATE
FILED BY: HOLDMAN, BILLY
TENTATIVE RULING:

Granted.

3. 9:00 AM CASE NUMBER: C23-02656
CASE NAME: MARIA ANGUIANO VS. JOHN BALQUIST
*HEARING ON MOTION IN RE: TO BE RELIEVED AS COUNSEL (FOR PLAINTIFF CATALINA MARTINEZ)
FILED BY:
TENTATIVE RULING:

Granted. The order granting counsel's motion to be relieved as counsel for Catalina Martinez shall be effective upon the filing of the proof of service of the signed order upon the client.

4. 9:00 AM CASE NUMBER: C23-02994
CASE NAME: NICOLETTE GRANZELLA VS. STEVEN SACKS
HEARING ON DEMURRER TO: 1ST AMENDED COMPLAINT
FILED BY: PRIME SMOKED MEATS, INC.
TENTATIVE RULING:

Before the Court is Defendant Prime Smoked Meats, Inc. ("Defendant" or "Prime Smoked Meats")'s Demurrer to Plaintiff Nicolette M. Granzella, Successor Trustee of the Richard P. Granzella Trust, as Amended and Restated ("Plaintiff")'s First Amended Complaint ("FAC").

The FAC alleges causes of action for (1) breach of fiduciary duty (against Sacks), (2) accounting (all Defendants), (3) conversion (all Defendants), (4) constructive trust (all Defendants), (5) false promise (all Defendants), (6) intentional misrepresentation (against Sacks), (7) negligent misrepresentation (against Sacks), (8) constructive fraud (all Defendants), (9) negligence (all Defendants), and (10) financial elder abuse (against Sacks).

Defendant demurs to the third, fifth, and eighth causes of action pursuant to § 430.10(e) on several grounds.

For the following reasons, the Demurrer is **overruled**.

Brief Factual Allegations

This case arises out of the shutdown of a family business, Prime Smoked Meats. Prime Smoked Meats was formed in 1958 by Al Sacks, who left the business to his children Steven Sacks and Lanie Sacks-Granzella. Plaintiff is a successor trustee of the Richard P. Granzella Trust, which holds the 50% interest in Prime Smoked Meats. Richard P. Granzella inherited from Lanie Sacks-Granzella upon her death. The First Amended Complaint alleges that, among other things, Granzella has been denied a one-half share of the proceeds from the sale of the warehouse out of which Defendant operated.

Legal Standard

"The function of a demurrer is to test the sufficiency of the complaint as a matter of law." (*Holiday*

Matinee, Inc. v. Rambus, Inc. (2004) 118 Cal.App.4th 1413, 1420.) A complaint “is sufficient if it alleges ultimate rather than evidentiary facts” (*Doe v. City of Los Angeles* (2007) 42 Cal.4th 531, 550 (“*Doe*”)), but the plaintiff must set forth the essential facts of his or her case “with reasonable precision and with particularity sufficient to acquaint [the] defendant with the nature, source and extent” of the plaintiff’s claim. (*Doheny Park Terrace Homeowners Assn., Inc. v. Truck Ins. Exchange* (2005) 132 Cal.App.4th 1076, 1099.) Legal conclusions are insufficient. (*Id.* at 1098–1099; *Doe* at 551, fn. 5.) The Court “assume[s] the truth of the allegations in the complaint, but do[es] not assume the truth of contentions, deductions, or conclusions of law.” (*California Logistics, Inc. v. State of California* (2008) 161 Cal.App.4th 242, 247.)

Analysis

As a threshold issue, Defendant argues that Plaintiff’s alter ego allegations are “entirely conclusions of fact and law” and requests that the Court “not consider those allegations when considering this demurrer.” (Dem. at 3:8-9.) However, there is no cause of action for alter ego or piercing the corporate veil alleged in the complaint. Instead, Plaintiff has a general section wherein she makes alter ego allegations, including that “[a]t all times relevant hereto, Defendant Prime Smoked Meats was the alter ego of Defendant Sacks, and there exists, and at all times herein mentioned has existed, a unity of interest and ownership between Defendants such that any separateness between them has ceased to exist in that Defendant Sacks completely controlled, dominated, managed, and operated the other Defendants to suit his convenience.” (FAC at ¶ 10, see also FAC at ¶¶ 9, 11-13.) Because there is no cause of action for alter ego alleged, the demurrer to specific allegations is improper. Defendant did not otherwise file a motion to strike any certain allegations.

(3) Conversion

Defendant demurs to the cause of action for conversion on the grounds that Plaintiff has no standing to bring her claim. In opposition, Plaintiff argues that “an individual shareholder may bring a direct action, rather than a derivative one on behalf of the corporation, when the shareholder’s own stock is the only stock affected adversely.” (Opp. at 8:12-14 [citing *Nelson v. Anderson* (1999) 72 Cal.App.4th 111, 117].) Defendant does not engage with Plaintiff’s argument on reply; instead their entire argument is directed at their challenge to the alter ego issue, which the Court does not address.

“Shareholders may bring two types of actions, ‘a direct action filed by the shareholder individually (or on behalf of a class of shareholders to which he or she belongs) for injury to his or her interest as a shareholder,’ or a ‘derivative action filed on behalf of the corporation for injury to the corporation for which it has failed or refused to sue.’ [Citation.] ‘The two actions are mutually exclusive: i.e., the right of action and recovery belongs either to the shareholders (direct action) or to the corporation (derivative action). [Citation.]’” (*Schuster v. Gardner* (2005) 127 Cal.App.4th 305, 311-312 (*Schuster*), italics omitted.)

“Whether a cause of action is derivative or can be asserted by an individual shareholder is determined by considering the wrong alleged.” (*Sole Energy Co. v. Petrominerals Corp.* (2005) 128 Cal.App.4th 212, 228.) “An action is derivative . . . ‘if the gravamen of the complaint is injury to the corporation, or to the whole body of its stock and property without any severance or distribution among individual holders, or it seeks to recover assets for the corporation or to prevent the dissipation of its assets.’” [Citation.]” (*Everest Investors 8 v. McNeil Partners* (2003) 114 Cal.App.4th 411, 425.) “On the other hand, California cases recognize that a stockholder’s individual suit ‘“is a suit to enforce a right against the corporation which the stockholder possesses as an individual.”’ [Citation.]” (*Id.* at p. 426.)

For example, “[i]f the injury is one to the plaintiff as a stockholder and to him individually, and not to

the corporation, as where the action is based on a contract to which he is a party, or on a right belonging severally to him, or on a fraud affecting him directly, it is an individual action.” (*Sutter v. General Petroleum Corp.* (1946) 28 Cal.2d 525, 530.) “The individual wrong necessary to support a suit by a shareholder need not be unique to that plaintiff. The same injury may affect a substantial number of shareholders. If the injury is not incidental to an injury to the corporation, an individual cause of action exists.” (*Jones v. H.F. Ahmanson & Co.* (1969) 1 Cal.3d 93, 107; see *Bader v. Anderson* (2009) 179 Cal.App.4th 775, 793 [“A direct (as opposed to a derivative) action is maintainable ‘only if the damages [are] not incidental to an injury to the corporation.’”]; see also *Schuster v. Gardner* (2005) 127 Cal.App.4th 305, 313; *Nelson v. Anderson* (1999) 72 Cal.App.4th 111, 124.)

Here, the gravamen of Plaintiff’s cause of action for conversion is Defendant’s alleged failure to distribute “a one-half share of the net sale proceeds from the sale of the Property.” (FAC at ¶ 48.) This is a direct claim for which Plaintiff has standing.

The Demurrer on this ground is **overruled**.

(5) False Promise

Defendant demurs to the cause of action for false promise on the grounds that it lacks specificity and “because the corporation had the right to proceeds pending corporate action.” (Dem. at 7:11-12.)

The cause of action for false promise is rooted in fraud. “The elements of fraud are (a) a misrepresentation (false representation, concealment, or nondisclosure); (b) scienter or knowledge of its falsity; (c) intent to induce reliance; (d) justifiable reliance; and (e) resulting damage.” (*Hinesley v. Oakshade Town Ctr.* (2005) 135 Cal.App.4th 289, 294.)

The facts constituting the alleged fraud must be alleged factually and specifically as to every element of fraud, as the policy of “liberal construction” of the pleadings will not ordinarily be invoked. (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 645.) To properly allege fraud against a corporation, the plaintiffs must plead the names of the persons allegedly making the false representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written. (*Tarmann v. State Farm Mut. Auto. Ins. Co.* (1991) 2 Cal.App.4th 153, 157.)

Here, the Complaint alleges that Granzella and Sacks were each 50% owners of Prime Smoked Meats. (Complaint at ¶ 16.) The Complaint further alleges that Sacks decided to retire and close down the business. (*Id.* at ¶ 22.) Specifically as relates to false promise, the Complaint alleges:

As part of the process of winding up Prime Smoked Meats, on or about December 21, 2021, Granzella, Sacks, and Nicolette M. Granzella met with Pat Betts (“Betts”) an accountant and/or bookkeeper for Prime Smoked Meats. At that meeting, it was affirmed by Granzella and Sacks that they each owned one-half of Prime Smoked Meats (Granzella had inherited Lanie’s fifty percent [50%] interest). When Prime Smoked Meats was to wind up its business, they further affirmed that they were each entitled to one-half of the corporate assets based on their one-half ownership of the company.

(Complaint at ¶ 23.)

When read in connection with the allegations within the fifth cause of action (Complaint at ¶¶ 60-66) this is sufficient specificity to allege a cause of action for false promise.

The Demurrer on this ground is **overruled**.

(8) Constructive Fraud

Defendant's Demurrer to Plaintiff's constructive fraud cause of action is also on the grounds that it lacks specificity. And, for the same reasons as discussed above with respect to Plaintiff's false promise cause of action, the Court disagrees. The Demurrer on this ground is **overruled**.

5. 9:00 AM CASE NUMBER: C23-02994

CASE NAME: NICOLETTE GRANZELLA VS. STEVEN SACKS

HEARING IN RE: JOINDER TO DEFENDANT PRIME SMOKED MEATS, INC.'S DEMURRER TO FIRST AMENDED COMPLAINT

FILED BY: SACKS, STEVEN M

TENTATIVE RULING:

Before the Court is Defendant Steven M. Sacks, aka Steven Sacks, aka Steve M. Sacks, aka Steve Sacks ("Defendant" or "Sacks") joinder to the Demurrer of Defendant Prime Smoked Meats, Inc.

Joinder is appropriate where the joinder seeks affirmative relief on behalf of the joining party and joins in the arguments made by the motion being joined. (*Barak v. Quisenberry Law Firm* (2006) 135 Cal.App.4th 654, 661.) If the joinder itself is not in the form of a motion, does not present any evidence or argument, that joinder does not alone constitute a motion that will entitle a party to relief or cause the party to be bound by the ruling of the court on the pending motion made by another party. (*Decker v. U.D. Registry, Inc.* (2003) 105 Cal.App.4th 1382, 1392 [superseded by statute on other grounds].)

Here, Defendant both seeks affirmative relief on his own behalf and joins in the arguments made by Defendant Prime Smoked Meats. However, because Defendant Prime Smoked Meats' Demurrer is **overruled**, the joinder to that motion is **denied** as moot.

6. 9:00 AM CASE NUMBER: C24-01742

CASE NAME: 1716 NORTH MAIN STREET, LLC VS. HEFFERNAN INSURANCE BROKERS

*HEARING ON MOTION IN RE: STRIKE PLTFS CLAIM FOR PUNITIVE DAMAGES IN 1ST AMENDED COMPLAINT

FILED BY: HEFFERNAN INSURANCE BROKERS

TENTATIVE RULING:

Before the Court is Defendant Heffernan Insurance Brokers' Motion to Strike Plaintiff's Claim for Punitive Damages in the First Amended Complaint.

Standard

Any party, within the time allowed to respond to a pleading, may serve and file a notice of motion to strike the whole or any part of the pleading. (Code Civ. Proc. ("CCP") §435(b)(1); Cal. Rules of Court, Rule 3.1322(b).) The court may, upon a motion or at any time in its discretion and upon terms it deems proper: (1) strike out any irrelevant, false, or improper matter inserted in any pleading; or (2) strike out all or any part of the pleading not drawn or filed in conformity with the laws of California, a court rule, or an order of the court. (CCP §§ 436(a)-(b); *Stafford v. Schultz* (1954) 42 Cal.2d 767, 782